asked price by 20 and thus establish a proposed value of $200,000 for the entire undertaking. The rest of his calculation would turn about the question whether or not the business was a "good buy" at $200,000.

Item	**General Electric**	**Pepperell Manufacturing**
Price	(1930) 95	(1932) 18
Number of shares	28,850,000	97,600
Market value of common	$2,740,000,000	$ 1,760,000
Balance sheet	(Dec. 1929)	(June 1932)
Fixed assets (less depreciation)	$ 52,000,000	$ 7,830,000
Miscellaneous assets	183,000,000	230,000
Net current assets	206,000,000	9,120,000
Total net assets	$ 441,000,000	$17,180,000
Less bonds and preferred	45,000,000	
Book value of common	$ 396,000,000	$17,180,000
Book value per share	$13.75	$176

Item	**Commercial Solvents**	**Pennsylvania Coal and Coke**
Price	(July 1933) 57	(July 1933) 3
Number of shares	2,493,000	165,000
Market value of common	$142,000,000	$ 495,000
Balance sheet	(Dec. 1932)	(Dec. 1932)
Fixed assets (less depreciation)		6,500,000
Miscellaneous assets	2,600,000	990,000
Net current assets	6,000,000	740,000
Total assets for common	$ 8,600,000	$8,230,000
Book value per share	$3.50	$50

This elementary and indispensable approach has been practically abandoned by those who purchase stocks. Of the thousands who "invested" in General Electric in 1929–1930 probably only an infinitesimal number had any idea that they were paying on the basis of about 2½ billions of dollars for the company, of which over two billions represented a premium above the money actually invested in the business. The price of 57 established for Commercial Solvents in July 1933 was more of a gambling phenomenon,